

managers. The reasons are manifold, but the most obvious is that the trials aren't independent—our own trading decisions are affected by the buying or selling preceding our trade. English economist John Maynard Keynes observed in *The General Theory of Employment, Interest, And Money* (1936) that “[d]ay-to-day fluctuations in the profits of existing investments, which are obviously of an ephemeral and nonsignificant character, tend to have an altogether excessive, and even an absurd, influence on the market.”⁷ Two economists known for research into both market behavior and individual decision-making, Werner De Bondt and Richard Thaler, theorized that it is this overreaction to meaningless price movements that creates the conditions for mean reversion. De Bondt and Thaler speculated that investors overreact to short-term, random fluctuations in market prices, and this overreaction causes the stock prices to temporarily depart from intrinsic value. Stock prices subsequently mean revert over time toward intrinsic value. If this is in fact the case, the stock prices that have moved the most—up or down—are candidates for a big move in the opposite direction. De Bondt and Thaler tested this idea in 1985.⁸ Using data for the period 1926 to 1982, they formed portfolios of the 35 most extreme winners (those that had risen the most), and the 35 most extreme losers (those that had fallen the most) measured over the 3 years before the selection date. They then tracked the subsequent 3-year performance of the portfolios. Figure 5.1, from De Bondt and Thaler’s paper, shows the performance of the portfolios of Losers (those that had fallen the most over the prior three years), and the Winners (those that had risen the most over the prior three years).

Figure 5.1 shows that the Loser portfolios comprehensively outperformed the Winner portfolios, suggesting that big stock price movements in one direction tend to be followed by big price movements in the opposite direction. De Bondt and Thaler proposed that the cause of the backtracking was investors overreacting to high-profile news events and becoming either overly optimistic or pessimistic about the stock in the short term. The stock price subsequently reverted toward its intrinsic value as the impact of that news event receded from memory.

In a second study published in 1987, De Bondt and Thaler revisited the research from a new perspective.⁹ They hypothesized that the mean reversion they observed in stock prices in the first study might have been caused by investors focusing too much on the short term. This fixation on the recent past and failure to look beyond the immediate future would cause investors to miscalculate future earnings by failing to account for mean reversion. If earnings were also mean reverting, then extreme stock price increases and decreases might, paradoxically, be predictive of mean reversion not just in stock *prices*, but in *earnings* too (*paradoxically* because we would ordinarily expect earnings to lead prices, and not the other way around). In other